Schedule EITE Sheet 1

EMISSIONS-INTENSIVE AND TRADE-EXPOSED CUSTOMER GREENHOUSE GAS ALLOWANCE REVENUE PROVISIONS

APPLICABILITY

This Schedule is applicable to Customers designated as Emissions-Intensive and Trade-Exposed (EITE) for the purposes of receiving greenhouse gas (GHG) allowance revenue from the State of California.

TERRITORY

Within the entire territory served.

RATES

All charges and provisions of the Customer's Otherwise Applicable Tariff (OAT) apply, except that EITE Customers receive an annual allocation of GHG allowance revenue (CA Industry Assistance) from the State of California.

SPECIAL CONDITIONS

1. EITE Customer Designation: Pursuant to California Public Utility Commission (CPUC or Commission) Decisions (D.)12-12-033 and 14-12-037, an EITE Customer is defined as any entity in an industrial sector that qualifies for industry assistance under the California Air Resources Board's (CARB's) cap-and-trade regulation, including new market entrants as defined in D.14-12-037, regardless of the amount of emissions produced. Such entities are explicitly listed by North American Industry Classification System (NAICS) code. For the purposes of receiving CA Industry Assistance, the EITE Customer designation also includes (1) Small EITE Entities, which are defined as any facility that operates in a sector eligible for industry assistance that has annual direct emissions less than 25,000 $MTCO_2e$ (refer to Special Condition 4 below for special attestation requirements applicable to Small EITE Entities with annual direct emissions less than 10,000 $MTCO_2e$) and (2) Non-Covered Subsector Entities (refer to Special Condition 5 below for special attestation requirements). Bundled Service Customers, Direct Access Customers, Community Choice Aggregation Service Customers, Customers receiving Standby Service, and Customers that pay only Departing Load charges to SCE are all eligible to be designated as EITE for the purposes of receiving CA Industry Assistance. Customers previously designated as EITE with facilities that cease operations or that are no longer primarily dedicated to EITE-eligible industrial activities, as determined by the Commission's Energy Division, are not eligible to receive CA Industry Assistance for those facilities on a going-forward basis.

2. EITE Credit Amount Determination: An EITE Customer's annual CA Industry Assistance amount is determined by the Commission's Energy Division on a prospective basis pursuant to D.14-12-037, and the specific dollar amount of CA Industry Assistance calculated by the Energy Division for each EITE Customer is provided by the Energy Division to SCE. For EITE Customers that operate in multiple utility service territories, the amount of CA Industry Assistance is distributed in proportion to the Customer's purchases from each utility on an annual basis.

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Schedule EITE Sheet 2

EMISSIONS-INTENSIVE AND TRADE-EXPOSED CUSTOMER GREENHOUSE GAS ALLOWANCE REVENUE PROVISIONS

SPECIAL CONDITIONS (Continued)

3. EITE Credit Disbursement: The annual GHG allowance revenue amount is disbursed as a bill credit identified as "CA Industry Assistance" on the EITE Customer's April billing statement.[i] This bill credit is applied prior to the application of franchise fees and taxes. However, EITE Customers with direct emissions of 25,000 $MTCO_2e$ and higher may request to receive an annual check in lieu of the annual on-bill credit. Any EITE Customer that receives CA Industry Assistance via an on-bill credit may request a check for any remaining credit balance on the account. (T)

4. Attestation Process for Small EITE Entities with Annual Direct Emissions less than 10,000 $MTCO_2e$: Customers with annual direct emissions less than 10,000 $MTCO_2e$ are required to attest to the Commission that their facility (or facilities) is primarily engaged in activities described by an EITE-eligible NAICS code in order to be designated as EITE for the purposes of receiving CA Industry Assistance. Customers who successfully attest will begin receiving CA Industry Assistance as an EITE Customer for the next calendar year on a prospective basis,[ii] and their designation will remain in effect for the duration of the cap-and-trade compliance period.[iii] Customers will have an opportunity to make an attestation to the Commission on an annual basis. The attestation provisions outlined herein are subject to modification by the Commission.

5. Special Provisions for Non-Covered Subsector Entities: For the purposes of receiving CA Industry Assistance, Customers that operate a facility primarily in an industry that matches a six-digit NAICS code included in Table 8-1 of CARB's cap-and-trade regulation but that are not designated as covered entities are eligible to be designated as EITE, even if the industry's activity does not match one of the subsector activities included in Table 8-1 of CARB's cap-and-trade regulation (Non-Covered Subsector Entities). In order to receive CA Industry Assistance, Non-Covered Subsector Entities must attest to the Commission that they operate in a sector or subsector that has the same six-digit NAICS code as other sectors eligible to receive industry assistance under CARB's cap-and-trade regulation. Customers who successfully attest will begin receiving CA Industry Assistance for the next calendar year on a prospective basis, and their designation will remain in effect for the duration of the cap-and-trade compliance period.[iv] Customers will have an opportunity to make an attestation to the Commission on an annual basis. The attestation provisions outlined herein are subject to modification by the Commission. Further, upon completion of any future Commission study designed to assess the leakage risk associated with Non-Covered Subsector Entities, if any such subsector activities are found to not pose a leakage risk, then the Non-Covered Subsector Entities participating in those industrial subsector activities that may have previously received CA Industry Assistance will no longer receive CA Industry Assistance on a going-forward basis beginning with the next calendar year after the study is completed.

[i] The first disbursement of CA Industry Assistance to EITE Customers will take place in 2015, but may not occur with the April billing statement. This disbursement will include CA Industry Assistance, with interest as applicable, for 2013, 2014 and 2015.

[ii] Customers that successfully attest in 2015, or the first year when the attestation process is available, will receive CA Industry Assistance to address GHG costs associated with 2013, 2014 and 2015, with interest as applicable, net of any Small Business Customer California Climate Credits received for the electricity usage registered on any of the electricity meters (i.e., service accounts) associated with the EITE-eligible facility in 2013-2015.

[iii] The cap-and-trade program is divided into three compliance periods: 2013-2014, 2015-2017, and 2018-2020.

[iv] See Footnote ii above.

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Schedule EITE Sheet 3

EMISSIONS-INTENSIVE AND TRADE-EXPOSED CUSTOMER GREENHOUSE GAS ALLOWANCE REVENUE PROVISIONS

SPECIAL CONDITIONS (Continued)

6. Special Provisions for Customers that are Both Small Business and EITE: If a Customer is designated as EITE, pursuant to Special Condition 1 above, none of the Customer's electricity usage registered on any of the electricity meters (i.e., service accounts) associated with the EITE-eligible facility is eligible to receive Small Business Customer California Climate Credits.[i] However, any Customer with annual direct emissions less than 10,000 $MTCO_2e$ that is eligible to receive GHG allowance revenue as a Small Business Customer, as defined in Rule 1, and that meets the EITE eligibility criteria will only receive the Small Business Customer California Climate Credit unless and until the Customer successfully attests to the Commission that it is EITE-eligible, pursuant to Special Condition 4 above. Customers who successfully attest will begin receiving CA Industry Assistance as an EITE Customer for the next calendar year on a prospective basis and will no longer receive Small Business Customer California Climate Credits for the electricity usage registered on any of the electricity meters (i.e., service accounts) associated with the EITE-eligible facility.[ii] Their EITE designation will remain in effect for the duration of the cap-and-trade compliance period.

[v] For 2013-2015, the amount of CA Industry Assistance received by an EITE Customer will reflect a deduction of the amount of Small Business Customer California Climate Credits received for the electricity usage registered on any of the electricity meters (i.e., service accounts) associated with the EITE-eligible facility in 2013-2015.

[vi] See Footnote ii above.